

13. 9:00 AM CASE NUMBER: C25-02117
CASE NAME: AMAL DIAS VS. MECHANICS BANK
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: MECHANICS BANK
TENTATIVE RULING:

Before the Court is Mechanics Bank's ("Defendant") demurrer. The demurrer relates to Amal Dias and Shamila Weerkkody's (collectively "Plaintiffs") First Amended Complaint for (1) Violation of section 4A of the Uniform Commercial Code, (2) Breach of Contract, (3) Fraudulent Inducement, (4) Gross Negligence, (5) Breach of Fiduciary Duty, (6) Conversion, (7) Violation of California Business and Professions Code section 17200, and (8) Violation of Penal Code section 496¹¹.

Pursuant to California Code of Civil Procedure section 430.10, Defendant demurs to all eight of the causes of action in Plaintiffs' First Amended Complaint on the grounds that Plaintiffs' non-Commercial Code claims are displaced by division 11 of the California Commercial Code under the court's holding in *Zengen, Inc. v. Comerica Bank* (2007) 41 Cal.4th 239, and that each claim independently fails to state facts sufficient to constitute a cause of action.

Plaintiffs oppose Defendant's demurrer on the grounds that displacement under *Zengen* is narrow and does not reach claims arising from pre- and post-transfer conduct, and that each cause of action is adequately pled.

For the following reasons, Defendant's demurrer to Plaintiffs' first cause of action is **SUSTAINED WITH LEAVE TO AMEND**, while Defendant's demurrer is **SUSTAINED WITHOUT LEAVE TO AMEND** as to Plaintiffs' second, third, fourth, fifth, sixth, seventh, and eighth causes of action.

Any amended complaint shall be filed and served 15 days from the date of this order.

I. Factual Allegations and Background

This case arises out of a banking dispute over an allegedly misrouted or delayed wire transfer.

Plaintiffs Amal Dias and Shamila Weerkkody are husband and wife. (First Amended Complaint ("FAC") at 1:20-21.) Mr. Dias entered into a real estate contract to purchase a fully furnished two-bedroom apartment in Colombo, Sri Lanka for 80,000,000 Rupees ("Rs") on January 21, 2025. (FAC at 2:11-12; Exhibit A.) The real estate contract required a non-refundable cash deposit of 20 percent of the purchase price – 16,000,000 Rs – and a promise to remit the 64,000,000 Rs balance by February 14, 2025. (FAC at Exhibit A.) The agreement contained the following provision: "Failure to remit the balance by [February 14, 2025,] will result in termination of this agreement, and the deposited funds will be forfeited by the seller due to grave loss of opportunity." (*Id.*)

Plaintiffs initiated a Foreign Exchange Wire Transfer with Defendant Mechanics Bank on January 29, 2025, for \$279,000 U.S. Dollars ("USD") to be delivered to a designated recipient in Sri Lanka. (FAC at 2:14-16; Exhibit B.) Plaintiffs provided Mechanics Bank with the recipient's full banking information, SWIFT code, account number, and the purpose for the wire transfer. (FAC at 2:19-21.) The receipt for

the Wire Transfer from Mechanics Bank noted that “[i]nternational wires may be subject to an auto-conversion of funds into local currency by our Intermediary Bank...” and “[w]e are not liable for the actions of any intermediary, regardless of whether or not we selected the intermediary.” (*Id.*)

Defendants allegedly routed the funds designated for transfer to the bank in Sri Lanka instead to an intermediary bank in the United Kingdom. (FAC at 3:1-3.) This United Kingdom bank was not the bank provided by Plaintiffs and had no apparent connection to the intended recipient or the intended recipient’s bank, which does not operate in the United Kingdom. (*Id.* at 3:12-13, 4:9-11; Exhibit C.) The alleged misrouting of the funds created a delay that stretched beyond what Plaintiffs alleged was the promised delivery timeframe. (*Id.* at 3:4-5.)

Plaintiffs made repeated inquiries with Defendant upon discovery of the error, but Mechanics Bank allegedly “refused to provide assurance regarding the status of the wire or confirm whether the funds would ever be delivered.” (FAC at 3:5-6.) Plaintiffs also allege that Defendant failed to disclose the whereabouts of the funds and only did so after Plaintiffs sought to have the transaction aborted. (*Id.* at 3:7-10.) It allegedly took another month for the error to be corrected. (*Id.* at 3:10-11.)

Plaintiffs allege that Mechanics Bank “failed to take adequate and timely action to trace, recover, or reverse the wire transfer, and failed to provide meaningful assistance or resolution.” (FAC at 3:20-21.) As a result of the failed wire transfer, Plaintiffs were unable to execute the real estate deal to purchase the apartment in Sri Lanka and lost their deposit. (*Id.* at 4:12-15.) Plaintiffs allege financial loss in the amount of at least \$192,161.15 plus consequential damages, interest, and emotional distress. (*Id.* at 3:22-24.)

Plaintiffs initiated the instant suit on July 24, 2025. Their initial complaint alleged just five causes of action for: (1) negligence, (2) breach of contract, (3) breach of fiduciary duty, (4) conversion and (5) violation of UCL. Defendant’s counsel, James Neudecker, initiated meet and confer efforts pursuant to California Code of Civil Procedure section 430.41(a) in early September, leading to phone calls between counsel on September 9, and September 11, 2025. (James Neudecker Declaration (“Neudecker Dec.”) ¶ 3.) This prompted Plaintiffs’ First Amended Complaint, filed September 24, 2025, wherein Plaintiffs added causes of action for Violation of section 4A of the Uniform Commercial Code, Fraudulent Inducement, and Violation of Penal Code section 496.

II. Meet and Confer Efforts

Before a responding party files a demurrer, the parties shall meet and confer at least five days prior to the date the responsive pleading is due, in person, by telephone, or by videoconference. (Code Civ. Proc., § 430.41(a)(2).)

After Plaintiffs filed their First Amended Complaint, counsel exchanged several emails between October 2 and October 8, 2025, in which Mr. Neudecker identified the alleged deficiencies laid out in the instant demurrer. (Neudecker Dec. Ex. 1.) He inquired several times as to when Plaintiffs’ counsel, Bruce Zelis, might be available to meet and confer pursuant to the statutory requirement. (*Ibid.*) Mr. Zelis did not provide any availability for such a meeting and instead, in a final email on October 8, 2025, advised Mr. Neudecker to “[f]ile your Answer or Demurrer or whatever you think is

appropriate.” (*Ibid.*) Defendant met its burden under the statute. (*Ibid.*)

III. Legal Standard

“A demurrer tests the sufficiency of the complaint by raising questions of law.” (*Schmidt v. Foundation Health* (1995) 35 Cal.App.4th 1702, 1706.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer does not test the truth or accuracy of the facts alleged in the complaint; the court assumes the truth of all properly pleaded factual allegations and those which arise by reasonable implication. (*Los Altos Golf & Country Club v. County of Santa Clara* (2008) 165 Cal.App.4th 198, 203; *Shurpin v. Elmhirst* (1983) 148 Cal.App.3d 94, 98.)

A complaint “is sufficient if it alleges ultimate rather than evidentiary facts” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 (“*Doe*”)), but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) “[P]laintiff’s ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496.)

The complaint must be “liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc. § 452.) “[I]f it appears that the plaintiff is entitled to any relief against the defendant, the complaint will be held good, even though the facts may not be clearly stated.” (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 896.)

Leave to amend is liberally allowed as a matter of fairness, however when it conclusively appears that there is no possibility of alleging facts under which recovery can be obtained, denial of leave to amend is appropriate. (*City of Stockton v. Superior Court* (2007) 42 Cal.4th 730, 747; *Eghtesad v. State Farm General Ins. Co.* (2020) 51 Cal.App.5th 406, 412.) “Leave to amend should be denied where the facts are not in dispute and the nature of the claim is clear, but no liability exists under substantive law.” (*Lawrence v. Bank of Am.* (1985) 163 Cal.App.3d 431, 436.)

IV. Analysis

a. Displacement Under Division 11 of the California Uniform Commercial Code

Division 11 of the California Uniform Commercial Code (“UCC”) governs funds transfers, which it defines as “the series of transactions, beginning with the originator’s payment order, made for the purpose of making payment to the beneficiary of the order.” (Com. Code, § 11104(a).)

Other definitions relevant to the instant inquiry include: “Intermediary bank,” defined as “a receiving bank other than the originator’s bank or the beneficiary’s bank;” “Originator,” defined as “the sender of the first payment order in a funds transfer;” and “Beneficiary,” defined as “the person to be paid by the beneficiary’s bank.” (Com. Code, §§ 11104(b), 11104(c), 11103(a)(2).)

The California Supreme Court in *Zengen, Inc. v. Comerica Bank* (2007) 41 Cal.4th 239, found that common law causes of action are preempted by Division 11 in two areas: “(1) where the common law

claims would create rights, duties, or liabilities inconsistent with division 11; and (2) where the circumstances giving rise to the common law claims are specifically covered by the provisions of division 11.” (*Zengen, Inc. v. Comerica Bank* (2007) 41 Cal.4th 239, 253.) The *Zengen* court emphasized that the provisions of Division 11 “are intended to be the exclusive means of determining the rights, duties and liabilities of the affected parties in any situation covered by a particular provision.” (*Id.* at 252.)

‘Although the California Uniform Commercial Code does not catalog all the ways in which a bank may execute an unauthorized wire transfer, it certainly specifies the consequences for doing so. Section 11201 et seq. sets forth the respective rights, duties and liabilities of the parties upon the issuance and acceptance of a payment order under division 11.’ To adapt the conclusion of one court to this case, ‘[b]ecause the situation made the basis of the [plaintiff’s] common-law claims—that [the Bank] made an improper funds transfer—is unequivocally addressed in the particular provisions of Article 4A, we conclude that those common-law claims are displaced by Article 4A and that the [plaintiff’s] exclusive remedy for that claim must be found in Article 4A.’

(*Zengen, Inc.*, *supra*, 41 Cal.4th at 254-255.)

It is undisputed that the transaction at issue in this case – a \$279,000 international wire transfer initiated by Plaintiffs through Defendant – was a funds transfer as governed by Division 11. (FAC at 4:18-19; Demurrer (“Dem.”) at 10:1-7; Com. Code, § 11104(a).)

The Court addresses Plaintiffs’ first cause of action for Violation of Section 4A of the UCC and eighth cause of action for Violation of California Penal Code section 496 on the merits below. The remaining six causes of action arise from Defendant’s alleged mishandling of the wire transfer and are subject to displacement analysis under *Zengen*. Because circumstances giving rise to each of those claims are specifically covered by Division 11’s provisions, they are addressed accordingly.

b. Violation of Section 4A of the Uniform Commercial Code (First Cause of Action)

Plaintiffs allege that Defendant violated sections 11302 and 11303 of the California Commercial Code when, after Plaintiffs issued a payment order to send funds to a beneficiary bank in Sri Lanka, Defendant routed Plaintiffs’ wire transfer to an intermediary bank in the United Kingdom and the funds were never received by the intended beneficiary bank in Sri Lanka. (FAC at 4:6-11, 16-17.)

i. California Commercial Code section 11302

California Commercial Code section 11302 governs the obligations of receiving banks in the execution of payment orders. (Com. Code, § 11302.) It provides that receiving banks must issue, on the execution date, a payment order complying with the sender’s order. (Com. Code, § 11302(a)(1).) It further provides that “[u]nless otherwise instructed, a receiving bank...may...issue a payment order to the beneficiary’s bank or to an intermediary bank through which a payment order conforming to the

sender's order can expeditiously be issued to the beneficiary's bank if the receiving bank exercised ordinary care in the selection of the intermediary bank." (Com. Code, § 11302(b).)

With respect to California Commercial Code section 11302, the conduct Plaintiffs identify as wrongful – routing an international wire transfer through an intermediary bank – is expressly authorized by subdivision (b). Furthermore, the Foreign Exchange Wire Receipt, signed by Mr. Dias, repeatedly and expressly contemplates intermediary routing for international wires. (FAC at Exhibit B.) The First Amended Complaint alleges only that the intermediary delayed in processing the transfer and that funds did not reach the beneficiary bank before Plaintiffs cancelled the transaction. (FAC at 3:4-5.) These allegations do not state a violation of California Commercial Code section 11302.

Plaintiffs, in their opposition, argue that Mechanics Bank's failure to trace the transfer, respond to inquiries, and timely correct the error, supports an inference of lack of ordinary care sufficient to survive demurrer. (Plaintiffs' Memorandum of Opposition to Demurrer ("Opp.") at 10:26-11:3.) They contend that, "it is reasonably inferred that the Bank's conduct was unreasonable and lacked ordinary care based on the specific allegations that the Bank: (1) selected an intermediary that failed to perform; (2) ignored Plaintiffs' repeated pleas for a status trace; and (3) deprived Plaintiffs of their funds for over a month after the wire was initiated." (*Ibid.*)

On demurrer, a complaint must contain "substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet." (*Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn. 2.) Plaintiffs' First Amended Complaint contains no factual allegations directed at the bank's selection of the intermediary or the reasonableness of the transfer system – the operative inquiries under California Commercial Code section 11302(b).

The allegation that the intermediary bank that Defendant selected caused a delay does not, without more, imply that the Defendant's conduct in selecting the intermediary bank was unreasonable and lacked ordinary care. And the allegations relating to Defendant's conduct after the wire transfer allegedly failed to reach its destination – ignoring pleas for a status trace, and depriving Plaintiffs of their funds for over a month – are similarly unsupportive of the conclusion that Defendant's conduct in selecting the United Kingdom intermediary was unreasonable and lacked ordinary care

i. California Commercial Code section 11303

California Commercial Code section 11303 governs erroneous execution of payment orders. It provides that where a receiving bank executes a payment order in an amount greater than or less than the sender's order, or transmits a duplicate payment order, the bank is obligated to correct the error. (Com. Code, § 11303(a), (b).) It further requires that if a receiving bank executes a payment order by issuing a payment order to a beneficiary different from the beneficiary of the sender's order, and the funds transfer is completed on the basis of that error, the sender is not obligated to pay the erroneously executed order," (Com. Code, § 11303(c).)

As relates to California Commercial Code section 11303, Plaintiffs allege no erroneous execution within the meaning of that provision. There is no allegation that Defendant transmitted a duplicate order, an amount inconsistent with the sender's instructions, or that the funds transfer was

completed on the basis of an error such that Plaintiffs were unable to effect a refund. Plaintiffs contend that Mechanics Bank routed funds to a United Kingdom intermediary bank rather than the Sri Lankan beneficiary bank, however the First Amended Complaint also affirmatively alleges that Plaintiffs cancelled the transaction and the funds were returned. (FAC at 3:1-3, 9-11.) They expressly allege “Defendant Bank’s *failure to execute* Plaintiffs’ payment order...” was the cause of Plaintiffs’ failed real estate deal and lost deposit. (*Id.* at 4:12-15 (emphasis added).) Because the transfer was never completed and Plaintiffs got their money back, section 11303 does not apply, and Plaintiffs cannot state a claim under that provision on these facts.

Accordingly, the demurrer to the first cause of action for Violation of Section 4A of the UCC is **SUSTAINED**. However, because Plaintiffs may conceivably be able to allege specific facts about the intermediary bank or Defendant’s process in selecting them that would support a lack of ordinary care, **LEAVE TO AMEND** is granted as to this cause of action.

c. Breach of Contract (Second Cause of Action)

Plaintiffs allege that they entered into an express written agreement with Defendant for the execution of a wire transfer, and Defendant breached the agreement by failing to transfer the funds correctly by violating the agreed timeframe, and by failing to provide contracted services. (FAC at 5:5-10.)

Plaintiffs’ Breach of Contract claim is displaced by Division 11. Under *Zengen*, common law claims are displaced where the circumstances giving rise to them are specifically covered by Division 11’s provisions. (*Zengen, Inc., supra*, 41 Cal.4th at 254-255.) Here, California Commercial Code section 11302 specifically governs a receiving bank’s obligations in executing a payment order, including the duty to issue a conforming order on the execution date and the manner in which intermediary banks may be used. (Com. Code, § 11302(a)(1), (b).) Plaintiffs’ breach of contract claim is entirely premised on Defendant’s alleged failure to properly execute the payment order, the precise subject matter covered by California Commercial Code section 11302. A breach of contract claim based on the same conduct would necessarily create duties and liabilities inconsistent with Division 11’s carefully calibrated risk allocation scheme. It is therefore displaced.

Accordingly, the demurrer to the second cause of action for breach of contract is **SUSTAINED WITHOUT LEAVE TO AMEND**.

d. Fraudulent Inducement (Third Cause of Action)

Plaintiffs allege that Mechanics Bank represented to them that it would properly process the wire transfer in accordance with standard wire procedure and applicable banking regulations, including the Bank Secrecy Act (“BSA”) and Anti-Money Laundering (“AML”) requirements, and that the funds would be safely transmitted to the designated recipient in Sri Lanka. (FAC at 5:18-21, 6:14-15.) Plaintiffs further allege that Mechanics Bank knew or should have known these representations were false when made. (*Id.* at 6:9-12.)

Plaintiffs’ Fraudulent Inducement claim is displaced by Division 11. Although Plaintiffs frame the claim as arising from misrepresentations made before the funds transfer was initiated rather than the

execution of the funds transfer itself, the representations alleged concern how the wire transfer would be processed and whether funds would reach the designated beneficiary; this conduct is specifically covered by California Commercial Code section 11302.

Under *Zengen*, the relevant inquiry is not how a claim is characterized but whether the circumstances giving rise to it are specifically covered by Division 11's provisions. "Although the California Uniform Commercial Code does not catalog all the ways in which a bank may execute an unauthorized wire transfer, it certainly specifies the consequences for doing so. Section 11201 et seq. sets forth the respective rights, duties and liabilities of the parties upon the issuance and acceptance of a payment order under division 11.'" (*Zengen, Inc., supra*, 41 Cal.4th at 254-255.) Accordingly, under *Zengen*, a fraudulent inducement claim premised on representations about the execution of a wire transfer would create duties and liabilities inconsistent with Division 11's exclusive risk allocation framework and is therefore displaced.

Accordingly, the demurrer to the third cause of action for Fraudulent Inducement is **SUSTAINED WITHOUT LEAVE TO AMEND**.

e. Gross Negligence (Fourth Cause of Action)

Plaintiffs allege that Mechanics Bank owed them a duty of reasonable care in processing their international wire transfer, and by misrouting funds, and failing to follow industry-standard resolution protocols, it breached that duty. (FAC at 7:19-23.)

Plaintiffs' Gross Negligence claim is displaced by Division 11. *Zengen* addressed negligence claims directly and held that where Division 11 specifically covers the circumstances giving rise to a negligence claim, the claim is displaced regardless of how it is characterized. (*Zengen, Inc., supra*, 41 Cal.4th at 254.) The court explained that "[a]lthough the California Uniform Commercial Code does not catalog all the ways in which a bank may execute an unauthorized wire transfer, it certainly specifies the consequences for doing so.'" (*Zengen, Inc., supra*, 41 Cal.4th at 254-255.) Sections 11205 and 11302 specifically govern erroneous payment orders and the execution obligations of receiving banks, which is the precise subject matter of Plaintiffs' negligence claim. The claim is therefore displaced.

Plaintiffs rely on *Approved Mortg. Corp. v. Truist Bank* (7th Cir. 2024) 106 F.4th 582 for the proposition that post-transfer negligence claims are not preempted by Article 4A (Opp. at 9:1-7.) This authority is not binding on this court. (*Auto Equity Sales, Inc. v. Superior Court* (1962) 57 Cal.2d 450, 455-456.) Moreover, it is distinguishable; *Approved Mortgage* involved post-transfer conduct by a bank that was wholly independent of the payment order mechanics, arising after the transfer was completed. (*Approved Mortg. Corp., supra*, 106 F.4th at 594-595.) Here, Plaintiffs' negligence allegations – failure to trace, failure to correct the misrouting, failure to communicate – all relate directly to Defendant's handling of the wire transfer itself and the consequences of its alleged failed execution. That is squarely within Division 11's coverage under *Zengen*.

Accordingly, the demurrer to the fourth cause of action for Gross Negligence is **SUSTAINED WITHOUT**

LEAVE TO AMEND.

f. Breach of Fiduciary Duty (Fifth Cause of Action)

Plaintiffs allege that Mechanics bank, as a trusted financial institution, owed them a fiduciary duty to act in good faith, with due care, and in Plaintiffs' best interest. (FAC at 8:6-9.) They further allege that Mechanics Bank breached these duties when it acted negligently or indifferently in handling their funds and failing to correct the error. (*Ibid.*)

Plaintiffs' Breach of Fiduciary Duty claim is displaced by Division 11. The claim is premised on Defendant's alleged mishandling of the wire transfer, conduct specifically covered by California Uniform Commercial Code sections 11202 and 11204, which govern the allocation of rights, duties, and responsibilities between a bank and its customers with respect to payment orders. A Breach of Fiduciary Duty claim premised on the same conduct would create duties and liabilities inconsistent with Division 11's exclusive risk allocation framework. Under *Zengen*, it is therefore displaced. (*Zengen, Inc., supra*, 41 Cal.4th at 253.)

This claim also fails as a matter of law independent of displacement. It is black letter California law that the relationship between a bank and its depositor is one of debtor and creditor, not a fiduciary relationship. (*Lawrence v. Bank of Am.* (1985) 163 Cal.App.3d 431, 437; *Morse v. Crocker Nat'l Bank* (1983) 142 Cal.App.3d 228, 232; *Downey v. Humphreys* (1951) 102 Cal.App.2d 323, 332.) The acceptance of a payment order does not transform a contractual banking relationship into a fiduciary one.

Plaintiffs argue that a fiduciary duty arose from Defendant's acceptance of specific time-sensitive wire instructions and its superior knowledge and control over the transfer process, and rely on *Barrett v. Bank of Am.* (1986) 183 Cal.App.3d 1362, 1369, for the proposition that the bank-depositor relationship is "at least quasi-fiduciary." (Opp. at 13:18-22; *Barrett v. Bank of Am.* (1986) 183 Cal.App.3d 1362, 1369.) *Barrett* does not support Plaintiffs' claim. There the quasi-fiduciary duty was recognized only in the specific context of a bank acting as an agent for a particular limited purpose under circumstances giving rise to a special relationship of trust and confidence. No such circumstances are alleged here. Plaintiffs allege only a standard banking transaction.

Accordingly, the demurrer to the fifth cause of action for Breach of Fiduciary Duty is **SUSTAINED WITHOUT LEAVE TO AMEND.**

g. Conversion (Sixth Cause of Action)

Plaintiffs allege that Mechanics Bank wrongfully exercised control over Plaintiffs' funds by failing to deliver or recover the amount transferred and withholding it without justification such that the bank's conduct constituted conversion. (FAC at 8:16-18.)

Plaintiffs' Conversion claim is displaced by Division 11. The claim is premised on Defendant's alleged wrongful retention of funds in connection with the failed wire transfer, conduct specifically covered by California Uniform Commercial Code section 11204, which governs the bank's obligation to refund payment and the customer's duty to report with respect to unauthorized or erroneous payment

orders. A Conversion claim premised on that same conduct would create duties and liabilities inconsistent with Division 11's exclusive framework for addressing the wrongful retention or misapplication of transferred funds. Under *Zengen*, it is therefore displaced. (*Zengen, Inc., supra*, 41 Cal.4th at 253.)

Accordingly, the demurrer to the sixth cause of action for Conversion is **SUSTAINED WITHOUT LEAVE TO AMEND**.

h. Violation of California Business and Professions Code section 17200 (Seventh Cause of Action)

Plaintiffs allege that Mechanics Bank's conduct in misrouting funds and failing to communicate the location of the funds, or to provide any assurance for several weeks following the transaction, qualifies as unlawful, unfair, and fraudulent business practices under California Business and Professions Code section 17200 ("UCL"). (FAC at 9:5-10.)

Plaintiffs' UCL Claim is displaced by Division 11. The claim arises from the same wire transfer conduct specifically covered by Division 11's provisions. Under *Zengen*, the relevant inquiry is whether the circumstances giving rise to the claim are specifically covered by Division 11, regardless of how the claim is labeled. (*Zengen, Inc., supra*, 41 Cal.4th at 253.) Here, the alleged misrouting of the wire transfer and the Defendant's execution obligations are specifically covered by California Uniform Commercial Code section 11302. The alleged failure to correct the error and refund payment is specifically covered by California Uniform Commercial Code section 11204. The alleged erroneous execution of the payment order is specifically covered by California Uniform Commercial Code section 11205. Because each component of the alleged unlawful, unfair, and fraudulent conduct is specifically covered by Division 11, the UCL claim is displaced in its entirety.

Even if Plaintiffs could identify some component of their UCL claim that falls outside Division 11's coverage, the claim would nonetheless fail because no UCL remedy is available. Remedies for prevailing plaintiffs in a UCL action are limited to injunctive relief and restitution. (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 179; *Kraus v. Trinity Management Services, Inc.* (2000) 23 Cal.4th 116, 128; Bus. & Prof. Code, § 17203.) Plaintiffs' First Amended Complaint acknowledges that Plaintiffs' funds were returned to them. (FAC at 3:9-11.) There is, accordingly, nothing to restore by way of restitution, and because the alleged conduct has already occurred, there is nothing to enjoin.

Accordingly, the demurrer to the seventh cause of action for Violation of California Business and Professions Code section 17200 is **SUSTAINED WITHOUT LEAVE TO AMEND**.

i. Violation of Penal Code section 496

Plaintiffs allege that Mechanics Bank acted in violation of Penal Code 496 when through fraud, deceit, and misrepresentation, Defendant allegedly conspired to and did take money from Plaintiffs by false pretense, constituting theft of property of the Plaintiffs in the amount of \$279,000.00 USD. (FAC at 10:1-7.)

Plaintiffs' allegations supporting this cause of action are difficult to parse, but the statute's plain terms bear little relationship to the facts alleged here. Plaintiffs appear to allege that Defendant's conduct in processing the wire transfer constituted theft by false pretense, but the First Amended Complaint does not identify what property was stolen, by whom, or how Defendant's role in executing an authorized wire transfer amounts to receiving stolen property within the meaning of the statute.

Penal Code section 496 provides a civil remedy for any person injured by the receipt, concealment, or withholding of stolen property. (Pen. Code, § 496(a), (c).) To state a claim, a plaintiff must allege that property at issue was stolen or obtained by theft, that the defendant then received, concealed, or withheld it, and that the defendant knew the property was so stolen or obtained. (*Ibid.*)

Plaintiffs' claim fails on its face. The First Amended Complaint does not allege that the funds at issue were stolen or obtained by theft. To the contrary, it affirmatively alleges that Plaintiffs themselves authorized the wire transfer of their own funds through Mechanics Bank. (FAC at 2:14-16.) Property that a plaintiff voluntarily authorized a bank to transfer is not stolen property within the meaning of Penal Code section 496. That the transfer was allegedly mishandled or delayed does not transform Plaintiffs' own funds into stolen property, nor does it render Mechanics Bank a knowing recipient of stolen goods.

Accordingly, the demurrer to the eighth cause of action for Violation of Penal Code section 496 is **SUSTAINED WITHOUT LEAVE TO AMEND**. Where the plaintiff's own allegations foreclose the essential elements of the claim, amendment is futile. (*Blank, supra*, 39 Cal.3d at 318.) Plaintiffs cannot allege that their funds were stolen without directly contradicting their own allegation that they authorized the transfer. No amendment can cure that fundamental deficiency.

V. Conclusion

For the foregoing reasons, Defendant's demurrer to Plaintiffs' first cause of action is **SUSTAINED WITH LEAVE TO AMEND**, while Defendant's demurrer is **SUSTAINED WITHOUT LEAVE TO AMEND** as to Plaintiffs' second, third, fourth, fifth, sixth, seventh, and eighth causes of action.

^[1] The causes of action on the caption page of Plaintiffs' First Amended Complaint do not align with those laid out in the body of their First Amended Complaint. The Court here addresses the causes of action as they are asserted in the body of Plaintiffs' First Amended Complaint and disregards the caption.

14. 9:00 AM CASE NUMBER: C25-02672
CASE NAME: RANDY GATEWOOD VS. CHANELL JACKSON
*HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL
FILED BY: GATEWOOD, RANDY
TENTATIVE RULING:

ATTACHMENT A

LINE 14: RANDY GATEWOOD VS. CHANELL JACKSON (C25-02672)

Rhonda Kraeber (“Counsel”) filed a Motion to be Relieved as Counsel on January 29, 2026 (the “Motion to be Relieved as Counsel”). The matter was set for hearing on June 15, 2026. By the Court’s Order entered March 10, 2026, the Motion to be Relieved as Counsel was advanced for hearing to March 30, 2026. Notice was duly given.

Background

Counsel seeks to be relieved as attorneys for plaintiff Randy Gatewood (“Plaintiff”).

The supporting declaration filed by Counsel indicates that there has been a breakdown in the attorney-client relationship due to a lack of communication and non-payment issues. See Declaration filed January 29, 2025, ¶2. Defendant has been given notice of the Motion to be Relieved as Counsel. *Id.* at ¶13; see also Notice of Hearing filed February 26, 2026.

Analysis

The Motion to be Relieved as Counsel is unopposed.

Disposition

The Court finds and rules as follows:

1. The Motion to be Relieved as Counsel is GRANTED.
2. The Court reviewed and rejects the lodged form of order (“Updated Order Granting Attorney’s Motion to be Relieved as Counsel—Civil” lodged February 26, 2026). Paragraphs 6 and 7 of the proposed form of order are incomplete. The information in Paragraph 8 should be in Paragraph 7. Box 5.a. should be checked. **Counsel is directed to correct and resubmit a further revised form of order.**

15. 9:00 AM CASE NUMBER: MSC21-00476
CASE NAME: FLEXSQUARE LLC VS EGHTEHAD
*HEARING ON MOTION IN RE: DISMISS ACTION FOR FAILURE TO OBEY DISCOVERY ORDERS
FILED BY: EGHTEHAD, NADER
TENTATIVE RULING:

Defendant Nader Eghtesad (“Defendant”) filed a motion to dismiss this action for failure to obey discovery orders on November 6, 2026 (the “Motion to Dismiss”). The Motion to Dismiss was set for hearing on March 30, 2026. Notice was duly given.